

FOOD PROCESSING

Towards Sustainable Growth Opportunities

Union Territory Profile Andaman & Nicobar Islands

Table of Contents [_Toc204697367](#)

Abstract	3
1. UT Overview.....	5
2. Advantage Andaman & Nicobar Islands	6
3. Local Food System	7
4. Production Clusters	9
5. Agricultural Marketing	10
6. Potential Opportunities	11
7. UT Government Initiatives and Schemes	13
8. Regulatory Framework: Registration / NoCs / Licenses	14
9. Major Players in Food Processing and Allied Sectors.....	15
Disclaimer.....	16

Abstract

Growth and Linkages in the Indian Food Processing Sector:

The Indian food-processing sector has witnessed remarkable growth, during the last 9 years ending 2023-24, Food Processing Industries sector has been growing at an Average Annual Growth Rate (AAGR) of around 6.55% as compared to around 6.06% in manufacturing at 2011-12 prices. The sector constituted as much as 7.93% share of FPI in manufacturing sector in 2023-2024. The sector is one of the largest employment providers in the organised manufacturing sector with 12.91% employment in the total registered/organised sector. This highlights its competitiveness and capacity to cater to global markets.

India is the world's largest producer of milk, pulses and jute and ranks as the second largest producer of rice, wheat, sugarcane, groundnut, vegetables, fruit and cotton. It is also one of the leading producers of spices, fish, poultry, livestock and plantation crops. This abundant raw material base offers immense potential for value addition and export. Notably, India reported the processed food exports amounted to USD 10.09 billion in 2024-2025 with significant shares in processed vegetables and fruits, pulses, cereal preparations etc. Further, the sector has attracted 7.21 billion FDI inflow in the last one-decade ending 2024-25. Recognizing the sector's significance, Ministry of Food Processing Industries has extended support and incentives for creation of modern infrastructure with efficient supply chain management, creation of employment opportunities, reducing post-harvest losses, increasing the processing level and enhancing export of the processed foods.

Agricultural Strength and Economic Advantages of Andaman & Nicobar Islands:

The food processing sector plays a crucial role in establishing strong linkages between the industry and the agriculture sector. It facilitates collaboration and integration, benefiting both sectors and boosting the overall agricultural value chain. Andaman & Nicobar Islands has a Gross State Domestic Product (GSDP) of USD 1.41 billion¹. Andaman & Nicobar Islands is well connected to the global stage, with 23 ports and an international airport facilitating smooth transportation and trade. The proximity of the Andaman & Nicobar Islands to an international maritime trade corridor offers favorable conditions for the container port industry, leading to increased opportunities for economic growth. Moreover, their proximity to Southeast Asia enhances the potential for various trade and economic activities, fostering international collaborations and partnerships. Additionally, the islands hold immense potential for the development of the fisheries sector, offering abundant opportunities for expansion and progress in this industry.

¹<https://rbidocs.rbi.org.in/rdocs/Publications/PDFs/HANDBOOK09122024426229B8B51C4BDE99607F1ADC64154A.PDF>

The food processing sector in the Andaman & Nicobar Islands offers a range of opportunities, including frozen fish products, ready-to-eat items, and processed fruits and vegetables. It is the largest producer of crops like papaya, pumpkin, spices, and areca nut among the UTs. Additionally, it boasts an annual fishery potential of over 2.435 lakh tons². This region cultivates a diverse range of crops, including bitter gourd, bottle gourd, ladyfinger, and brinjal, which serve as abundant fresh raw materials for the food processing industry. The UT has simplified the process of setting up businesses through the Andaman & Nicobar Islands Single Window Clearance system. The UT is further strengthening its food processing infrastructure through flagship schemes of the Ministry of Food Processing Industries such as Pradhan Mantri - Kisan Sampada Yojana, Pradhan Mantri Formalization of Micro Food Processing Enterprises, and the Production Linked Incentive Scheme.

² <https://www.and.nic.in/planning/Fisheries.pdf>

1. UT Overview

The Andaman & Nicobar Islands, located in the Bay of Bengal, is a group of over 500 picturesque islands that form a Union Territory of India. These islands are divided into two main groups: the Andaman Islands and the Nicobar Islands. The indigenous tribes residing in the Andaman and Nicobar Islands, such as the Jarawa, Sentinelese, Great Nicobarese and Onge, have their distinct cultures, traditions, and languages, adding to the cultural diversity of the region. The Andamans & Nicobar Islands are separated by a channel (the Ten Degree Channel) approximately 150 km wide.

Table 1: Andaman & Nicobar Islands Overview

Particulars	Details
UT Capital	Port Blair
Geographic Area ³	8249 sq. km
Population (Census 2011) ⁴	3,81,000
Total Road Length ⁵	1892 kms
Gross State Domestic Product (GSDP) ⁶ at current prices, 2022-23	USD 1.41 billion
Airport	1 International-Port Blair
Infrastructure ⁷	1 Air Cargo Terminal 26,863 MT Warehouse Capacity 2,663 MT Cold Storage Capacity
Installed power ⁸	127.87 MW
Available land ⁹	Mixed Category - 244 ha

³ <https://andaman.gov.in/about>

⁴ <https://rbidocs.rbi.org.in/rdocs/Publications/PDFs/HANDBOOK09122024426229B8B51C4BDE99607F1ADC64154A.PDF>

⁵ <https://morth.nic.in/sites/default/files/Basic%20Road%20Statistics%20of%20India-2019-20.pdf>

⁶ <https://rbidocs.rbi.org.in/rdocs/Publications/PDFs/HANDBOOK09122024426229B8B51C4BDE99607F1ADC64154A.PDF>

⁷ https://warehousingindia.org/wp-content/uploads/2022/10/LEADSReport2022_13October2022.pdf

⁸ https://cea.nic.in/wp-content/uploads/installed/2024/03/IC_Mar_2024_allocation_wise.pdf

⁹ India Industrial Land Bank - <https://iis.ncog.gov.in/parks/login1>

2. Advantage Andaman & Nicobar Islands

- Well connected with the presence of 23 ports and an international airport.
- Thriving tourism industry
- Mega international container transshipment port (ICTP) is being planned for the Galathea Bay of Great Nicobar Island of Andaman and Nicobar Islands.
- Enormous potential in the development of fisheries
- Proximity to high potential markets in South- East Asia¹⁰
- 8 major ports, 15 minor ports, 1 international airport and 3 defense airports¹¹
- Total coastal length of 1,912 Km and the Continental Shelf area of about 35,000 Sq.Km. The Exclusive Economic Zone (EEZ) around these islands is about 6,00,000 Sq.Km. forming 28% of the total EEZ area of the country.¹²
- Proximity to International Maritime Trade Corridor provides potential for container port industry¹³
- Graded as an “Aspirer” within the Union Territory cluster as per the LEADs report 2024¹⁴
- Largest producer of coconut, areca nut, papaya, spices in UTs¹⁵
- 2nd largest producer of banana in UTs¹⁶
- Literacy Rate: 86.63%¹⁷, the highly literate youth population is eager to engage in innovation, technology, and entrepreneurship.
- Peaceful labour relations and excellent law and order contribute to a conducive business climate.¹⁸

¹⁰ MoFPI

¹¹ India Investment Grid Gati Shakti| Ministry of Commerce and Industry

¹² <https://andaman.gov.in/departments>

¹³ Ibid

¹⁴ DPIIT| LEADs 2024: [Logistics Ease Across Different States](#)

¹⁵ https://agriwelfare.gov.in/sites/default/files/2023_24_FinalEstimates.xls

¹⁶ Ibid

¹⁷ <https://rbidocs.rbi.org.in/rdocs/Publications/PDFs/HANDBOOK09122024426229B8B51C4BDE99607F1ADC64154A.PDF>

¹⁸ <https://as.and.nic.in/startupindia/advantages.php>

3. Local Food System

3.1 Indigenous Produce

The natural vegetation of Andaman & Nicobar Island comprises of tropical rain (evergreen) and littoral and swamp forests. About 2/3rd of the Andaman is under native forest and agriculture is confined only to specific areas around habitations, where the dominant crop grown is rice. The whole belt surrounding the islands are biodiversity hotspots.

Plantation crops such as coconut, arecanut, and oil palm are the predominant land crops in the region. They are cultivated either individually or alongside inter-cultivation of pineapple, tapioca, and pepper.

Soils of Andaman & Nicobar are gradients of red loamy soils including marine alluvium-derived soils along the coast.

The total cultivated area under agriculture is 50,000 hectares out of 12,000 hectares. are flat land, while the remaining portion is comprised of hilly land.¹⁹

There is one agro-climatic zone²⁰ in the Islands, mostly tropical in nature, with an average rainfall of 3,510.8 mm annually²¹, favoring the cultivation of a multitude of agricultural crops, vegetables, and fruits around the year.

3.2 Key Production Highlights

- Total cropped area of over 16,500 ha²², with major crops including coconut, paddy, banana and areca nut.
- Annual marine fish landing around 18381 tonnes.²³
- Largest producer of coconut in UTs²⁴
- Largest producer of arecanut in UTs²⁵
- 2nd largest producer of banana in UTs²⁶
- Largest producer of papaya in UTs²⁷
- Largest producer of spices in UTs²⁸

¹⁹ Department of Agriculture Andaman and Nicobar | OBJECTIVES/ACTIVITIES OF THE DEPARTMENT | <https://agri.and.nic.in/objective.htm>

²⁰ RBI | Handbook of Statistics on Indian States | State-wise Pattern of Land-Use

²¹ <https://rbi.org.in/Scripts/PublicationsView.aspx?id=22895>

²² <https://www.nsws.gov.in/portal/state-approvals>

²³ https://eprints.cmfri.org.in/18344/1/Marine%20Fish%20Landings%20in%20India_2023.pdf

²⁴ https://agriwelfare.gov.in/sites/default/files/2023_24_FinalEstimates.xls

²⁵ ibid

²⁶ ibid

²⁷ ibid

²⁸ ibid

3.3 Key Production Statistics

Table 2: Crops (‘000 MT)²⁹, 2023-24

S.No.	Particulars	Production
1.	Plantation Crops	120.95
2.	Vegetables	39.04
3.	Fruits	26.16
4.	Spices	1.08

Table 3: Livestock, 2023-24³⁰ & Fisheries

S.No.	Particulars	Production
1.	Eggs (lakh nos.)	750.79
2.	Milk (‘000 MT)	17.61
3.	Meat (‘000 MT)	5.79
4.	Fish (lakh MT) ³¹ (2022-23)	0.47

Table 4: Fruits (‘000 MT)³², 2023-24

S.No.	Particulars	Production
1.	Banana	17.40
2.	Mango	2.73
3.	Papaya	2.28
4.	Sapota	1.03

Table 5: Plantation Crops (‘000 MT)³³ 2023-24

S.No.	Particulars	Production
1.	Coconut	105.54
2.	Arecanut	15.41

Table 6: Vegetables (‘000 MT)³⁴ 2023-24

S.No.	Particulars	Production
1.	Tapioca	1.20
2.	Sweet Potato	0.71
3.	Elephant Foot Yam	0.83

²⁹<https://rbidocs.rbi.org.in/rdocs/Publications/PDFs/HANDBOOK09122024426229B8B51C4BDE99607F1ADC64154A.PDF>

³⁰<https://dahd.gov.in/sites/default/files/2025-01/FinalBAHS2024Book14012025.pdf>

³¹<https://dof.gov.in/sites/default/files/2024-06/Handbook.pdf>

³²https://agriwelfare.gov.in/sites/default/files/2023_24_FinalEstimates.xls

³³ ibid

³⁴ ibid

4. Production Clusters

The list below showcases the Production Clusters within the State under the Pradhan Mantri Formalization of Micro Food Processing Enterprises Scheme (PMFME).

Table 6: Production Clusters³⁵

S.No.	Products	Districts
1.	Marine and Fish Products	South Andaman
2.	Coconut based products	Nicobar
3.	Coconut based products	Middle & North Andaman
TOTAL		3

³⁵[ONE DISTRICT ONE PRODUCT](#)– MoFPI

5. Agricultural Marketing

The agricultural marketing infrastructure available in the Andaman & Nicobar Islands is as listed in the table below

Table 7: Agricultural Markets in Andaman & Nicobar Islands

S.No.	Particulars	Details
1.	Food Processing Industries ³⁶	6
2.	e – NAM Mandis ³⁷	1
3.	Storage Units ³⁸	1

³⁶Annual Survey of Industries 2022-23

³⁷<https://enam.gov.in/web/state-unified-license/no-of-unified-licenses>

³⁸Ministry of Consumer Affairs, Food & Public Distribution| Storage of Food Grains

6. Potential Opportunities

Soils of Andaman & Nicobar are medium to very deep red loamy soils including marine alluvium derived soils along the coast. This along with humid tropical climate provides the right ecosystem of diversity in crop production. In general, plantation crops (coconut, arecanut, and oilpalm) dominate the land, use with or without the cultivation of pineapple, tapioca, and pepper. UT presents the following potential opportunities in the food processing sector:

6.1 Coconut & Areca nut

The total coconut production in UT is 105.54 '000 MT and the total areca nut production is 15.41 '000 MT in 2023-24³⁹. The UT administration is setting up a Coconut Mission for promotion of value-added products based on Coconut.

Potential avenues are:

- Coconut oil, coconut milk, coconut flour, desiccated coconut, coconut sugar, and coconut-based snacks.
- Virgin Coconut Oil Production
- Areca nut Processing: Areca nut-based products like betel nut candies, mouth fresheners, and supari (chewed betel nut)

6.2 Fisheries

Total fish production for the UT was 0.47 lakh MT in 2022-23⁴⁰.

Potential avenues are:

- **Canning and Curing:**
Processing fish species such as tuna and mackerel through methods like canning and curing enhances shelf life and marketability.
- **Filleting and Freezing:**
Fish filleting and freezing are essential techniques that preserve freshness and improve consumer convenience.
- **By-product Utilization:**
Fish waste and offal can be efficiently utilized to produce fish meal and fish oil, contributing to sustainable practices in the fishing industry.
- **Value-added Seafood Products:**
Creating products such as smoked fish, fish pickles, fish sausages, and fish snacks can increase market value and consumer appeal.
- **Quality Control and Certification:**
Implementing standards like Hazard Analysis and Critical Control Points (HACCP) and Good Manufacturing Practices (GMP) ensures the seafood meets international quality standards, thereby boosting export potential.

³⁹ https://agriwelfare.gov.in/sites/default/files/2023_24_FinalEstimates.xls

⁴⁰ <https://dof.gov.in/sites/default/files/2024-06/Handbook.pdf>

6.3 Seaweed

The global seaweed market reached USD 4.4 billion in 2017 and is growing rapidly, driven by demand from industries like food, pharmaceuticals, cosmetics, fertilizers, and animal feed. Pradhan Mantri Matsya Sampada Yojana (PMMSY) aims to increase seaweed production of the country over 1.12 million tonnes by 2025⁴¹.

- ANI, a biodiversity hotspot with over 200 seaweed species, offers ideal conditions for seaweed farming due to its rocky/sandy substratum, coral reefs, mangroves, and strategic location near Southeast Asian markets.
- In the Andaman region, NIOT-ACOSTI, along with CSMCRI and the A&N Fisheries Department, has launched large-scale offshore seaweed cultivation using rope-based structures suited for rough waters.⁴²
- The preliminary survey during 2018-19 on biodiversity of seaweeds in South Andaman 2018–19 identified 50+ species, including commercially valuable ones like *Gracilaria* and *Acanthophora*
- Seaweed can be processed into premium health foods, snacks, dried seaweed etc

6.4 Bamboo

With rising demand for ballies (non-commercial timber), bamboo can serve as a sustainable alternative, reducing forest pressure. Andaman and Nicobar Islands are rich in bamboo resources, with bamboo primarily found in their semi-evergreen forests⁴³. *Gigantochloa rostrata* is the most important bamboo species in this region⁴⁴.

Potential Avenue-

- Substitute for ballies in construction
- Handicrafts and furniture
- Agroforestry and soil conservation
- Paper, pulp, and bioenergy production
- Livelihood support for local communities through cultivation and processing

6.5 Medicinal plants

During Japanese occupation till 1945, Amba Haldi based beverages was a tonic for the Japanese army. It is widely grown in low laying areas of Andaman and Nicobar Islands. Other medicinal plants like *Alstonia kurzii*, *Artabotrys nicobarianus* are used by the local tribes.

Potential Avenue-

- Livelihood support for local communities through cultivation and processing

⁴¹ <https://www.pib.gov.in/PressReleaseIframePage.aspx?PRID=2083813>

⁴² https://www.niti.gov.in/sites/default/files/2024-08/Strategy%20for%20the%20Development_04062024_compressed.pdf

⁴³ <https://fsi.nic.in/isfr-2021/chapter-8.pdf>

⁴⁴ <https://fsi.nic.in/isfr-2021/chapter-8.pdf>

7. UT Government Initiatives and Schemes

The UT Government has undertaken several reforms to offer an enabling and investor-friendly business climate for investors keen on setting up business in the UT. Some of the key EoDB initiatives by UT include:

- **Andaman & Nicobar Islands Single Window Clearance⁴⁵**

One-stop portal for investors to digitally access all state-related business approvals and apply for them as per their business requirements. The portal is designed to assist investors in a transparent, time-bound and hassle-free manner. There is an online system to provide information regarding all approvals required by the industries to set up their businesses.

- **Industrial Lank Bank Portal**

A GIS-based portal serves as a one-stop repository of all infrastructure-related information such as connectivity, infra, natural resources and terrain, plot-level information on vacant plots and contact details.

- **Andaman & Nicobar Islands Start-up Policy 2018⁴⁶:**

Government of A&N has launched the Start Up Policy with the objective of the state is to, “emerge as one of the leading ‘Start-up Hubs’ in India through strategic partnerships, conducive ecosystem, investment, and policy interventions”.

Table 8: Start-up Funding & Incentives, A&N Islands⁴⁷

Category	Incentive/Support	Details / Eligibility
Innovation Fund	A&N Innovation Fund	Rs 1 Crore fund to support incubators and co-working space through ANIIDCO Ltd.
Monthly Allowance	Start-up Monthly Allowance	Rs 15,000/month for 1 year to DIPP-recognized start-ups at idea/prototype stage. Rs 20,000/month for women, transgender, SC/ST/SEBC/PH founders with $\geq 50\%$ equity.
Growth Grant	Start-up Growth Grant	Up to Rs 3 lakh for DIPP-recognized start-ups at MVP (Minimum Viable Product) stage.
Fiscal Incentives/G rants	a) Marketing Assistance	One-time assistance up to Rs 3 lakh for marketing/publicity.
	b) Subsidized Incubation/Co-working	50% subsidy on rent (max Rs 5,000/month) for 1 year in recognized incubators/co-working spaces.
	c) Power Subsidy	50% subsidy on power cost, up to Rs 5 lakh/year for 3 years.
Non-Fiscal Incentives	Self-certification & Compliance (under 9 labor laws incl. Trade Unions Act, etc.)	Exemption from inspections under various labour laws (e.g., Industrial Disputes Act, Factories Act, etc.), except in case of complaints.

- **Pradhan Mantri Matsya Sampada Yojana (PMMSY)⁴⁸** aims to enhance fish production to 22 million metric tons by 2024-25, double export earnings to Rs 1,000 crore, and generate about 55 lakh employment opportunities in the fisheries sector.

⁴⁵Andaman & Nicobar Administration | Single Window Clearance

⁴⁶ <https://southandaman.nic.in/document/innovation-and-start-up-policy-2018/>

⁴⁷ <https://cdn.s3waas.gov.in/s3352fe25daf686bdb4edca223c921acea/uploads/2019/02/2019021531.pdf>

⁴⁸ <https://nicobars.andaman.nic.in/scheme/pradhan-mantri-matsya-sampada-yojana-pmmsy/>

8. Regulatory Framework: Registration / NoCs / Licenses

The table below represents the indicative information regarding Regulatory Mechanism available in the union territory.

Table 9: Pre – Establishment Approvals

S.No.	Name of Service	Authority/ Agency/ Office/ Department officer granting approval
1.	Building Plan Approval	Andaman Public Works Department
2.	Consent to Establish under Pollution Acts	Andaman & Nicobar Pollution Control Committee
3.	Registration of GST	UTGST Facilitation Centre
4.	Temporary Water Connection	Departments under UT administration
5.	Fire Layout Approval	Andaman & Nicobar Fire Department
6.	Electric Connection (Temporary)	Electricity Department

Table 10: Post Operational Approvals

S.No.	Name of Service	Authority/ Agency/ Office/ Department officer granting approval
1.	Building Plan -Completion Certificate/NOC	Andaman Public Works Department
2.	Permanent Water Connection	Andaman Public Works Department
3.	NOC-Fire Department	Andaman Public Works Department
4.	Electric Power Connection LT/HT	Electricity Department
5.	Permission for Engaging Contractor for Labour	Labour Department
6.	Registration under Factories Act/Shops & Establishment Act and other Labour Acts	Labour Department

9. Major Players in Food Processing and Allied Sectors

9.1 Beneficiaries under PMFME⁴⁹

Table 12: Total Assistance Approved under PMFME - As on 31.05.2025

State/UT	Andaman & Nicobar Islands
Number of Micro Enterprises	18
Approved Subsidy (in Rs Crore)	1.03
Number of SHG Members	110
Approved Subsidy (in Rs Crore)	0.42
Net Enterprises-PMFME	128
Total Subsidy under PMFME (in Rs Crore)	1.45

⁴⁹ <https://www.mofpi.gov.in/sites/default/files/636.pdf>

Disclaimer

Without limiting the rights under the copyright reserved, this publication or any part of it may not be translated, reproduced, stored, transmitted in any form (electronic, mechanical, photocopying, audio recording or otherwise) or circulated in any binding or cover other than the cover in which it is currently published, without the prior written permission of MoFPI.

All information, ideas, views, opinions, estimates, advice, suggestions, and recommendations (hereinafter ‘content’) in this publication should not be understood as professional advice in any manner or interpreted as policies, objectives, opinions, or suggestions of Ernst & Young LLP. Readers are advised to use their discretion and seek professional advice before taking any action or decision, based on the contents of this publication. The content in this publication has been obtained or derived from sources believed to be reliable but MoFPI does not represent this information to be accurate or complete. MoFPI does not assume any responsibility and disclaim any liability for any loss, or damages caused due to any reason whatsoever, towards any person (natural or legal) who uses this publication.

This publication cannot be sold for consideration, within or outside India, without written permission of MoFPI. Violation of this condition of sale will lead to criminal and civil prosecution.

Copyright © Ministry of Food Processing Industries, Government of India. All right reserved



Published by

Economic Division

Ministry of Food Processing Industries, Government of India

Panchsheel Bhawan, New Delhi – 110049

W: mofpi.gov.in; worldfoodindia.gov.in

Knowledge Partner – Ernst & Young LLP